Casa de Bolsa
Interacciones

Raúl Ochoa
rmochoa@interacciones.com
Ph +52 (55) 5241 3918

Brian Flores
lbflorese@interacciones.com
Ph +52 (55) 5326 8600 x 5759

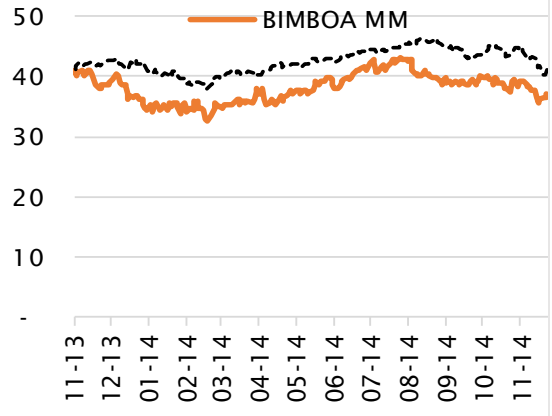
December 18, 2014

Grupo Bimbo SA CV
BIMBOA MM

Price (MXN, as of 12/18/2014)	P$39.40
Buy	
Target Price	P$44.00
Stock Price Return	11.7%
Dividend Yield	0.4%
Expected Total Return	12.1%
Market Cap (MXN mn)	185,306
Shares Outstanding (mn)	4,703.2
Free Float	24%
Beta (3 yr, vs MEXBOL)	1.05
Daily Value Traded (avg, USD mn)	6.9

Source: Interacciones and the company

BIMBOA MM vs MEXBOL



Source: BMV

Bimbo acquires a bakery company in Canada. Favorable effect.

The acquisition was unexpected.

Surprisingly, Bimbo acquired, through its subsidiary Canada Bread Co., a small company in Canada: Saputo Bakery, which is the bakery segment of the giant Saputo. The company reported sales for CAN $139 million.

The price was CAN $120 million and it has an EBITDA of CAN$15.5 million. The organization is debt free, displaying an EV / EBITDA multiple of 7.7x, which we consider attractive when compared to sector's 11.30x and Bimbo's 12.1x.

Saputo Bakery has 642 employees. The company manufactures and sell its products mainly in Canada and at a small scale, in the United States. Its productive plant is located in Quebec.

We think that the operation is favorable since Canada Bread's offer and its distribution network will be strengthen.

Aside from this operation, Group's expectations are promising in the region of North America.

The acquisition will be finished by February 2015.

Multiples	2011	2012	2013	2014E	2015E
P/E	38.7x	91.3x	43.4x	30.6x	26.6x
P/BV	4.0x	4.1x	4.1x	3.3x	3.1x
EV/EBITDA	18.8x	19.5x	15.3x	14.0x	12.5x

Estimates	2011	2012	2013	2014E	2015E
Revenues	133,496	173,139	176,763	189,236	199,380
EBITDA	13,569	12,773	16,170	19,275	21,677
EBITDA Margin (%)	10.2%	7.4%	9.1%	10.2%	10.9%
Net Income	4,785	2,029	4,270	6,059	6,978
Net Margin (%)	3.6%	1.2%	2.4%	3.2%	3.5%
EPS	1.02	0.43	0.91	1.29	1.48
BVPS	9.92	9.51	9.70	12.04	12.79

Source: Interacciones Research and the company

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Additional information available upon request.

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Interacciones Casa de Bolsa
México
Paseo de la Reforma 383, Piso 15, Col. Cuauhtémoc,
06500. Ciudad de México.
Tel. +52 (55) 5326-8600, Fax +52 (55) 5326-8747

Interacciones Research

Strategy / Managing Director, Research

Luis Vallarino, CFA	lvallarinom@interacciones.com	+ 52 (55) 5326-8778
Ulises Castro	umcastrog@interacciones.com	+ 52 (55) 5326-8600 x5748

Industrials

Homero Elizondo PhD	haelizondog@interacciones.com	+ 52 (55) 5241-3968
Juan F. Rich	jfrichr@interacciones.com	(55) 5326-8600 x6443

Construction / Materials

Heber Longhurst, CFA	hmlonghurstl@interacciones.com	+ 52 (55) 5241-3916
José Helue Mena, CFA	jheluem@interacciones.com	(55) 5326-8600 x6178

Financials / FIBRAs

Enrique Mendoza	emendozaf@interacciones.com	(55) 5241-3915
José Luis Cuenca	jcuencag@interacciones.com	(55) 5326-8600 x6997

Retail / Transportation

Francisco Guzmán	figuzmanm@interacciones.com	+ 52 (55) 5241-3917
Isabel Rosado	cirosadom@interacciones.com	

Telecommunications / Consumer Goods

Raúl Ochoa	rmochoa@interacciones.com	+ 52 (55) 5241-3918
Brian Flores	lbflorese@interacciones.com	+ 52 (55) 5326-8600 x5759

Technical Analyst

Agustín Becerril	abecerril@interacciones.com	+ 52 (55) 5326-8600 x6108

Corporate Access

Marcos Barreto	mbarretog@interacciones.com	+ 52 (55) 5326-8600 x6172

Economics and Fix Income

Carlos Fritsch	Prognosis	+ 52 (55) 5326-8600 x7218
Fernando Lamoyi		+ 52 (55) 5326-8600 x7218

Database & systems support

Isabel Rueda, Carlos Briseño

Production Services

Ismael Talamantes

Institutional Sales

Managing Director of Institutional Sales

Guillermo Zevada	gzevadap@interacciones.com	+ 52 (55) 5326-8748

Daniel Somuano	dsomuano@interacciones.com	+ 52 (55) 5326-8713
Lawrence Eden	leden@interacciones.com	+ 52 (55) 5326-8633
Alejandro Pérez	aperezr@interacciones.com	+ 52 (55) 5326-8721
Yelena Ramirez	yramirez@interacciones.com	+ 52 (55) 5326-8699
Alfonso Rivera	ariverag@interacciones.com	+ 52 (55) 5326-8771
Diego Barroso	dbarrosor@interacciones.com	+ 52(55) 5326 - 8723

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